SCHEDULE VDRP

VOLUNTARY DEMAND RESPONSE PROGRAM

APPLICABILITY

Applicable, in combination with the customers otherwise applicable tariff(s), on a voluntary basis to all customers who can commit to curtail at least 15% of Customer Load, with a minimum load drop of 100kW and taking service on Schedule EECC, as limited by Special Condition 18.

TERRITORY

Within the entire territory served by the utility.

RATES

Utility shall pay customer for hourly demand reduction when curtailed, in accordance with this Schedule using the following rate:

Curtailment Payment	$ 0.35 per kWh of Demand Reduction

SDG&E will provide the Curtailment Payment as an adjustment to the customer's regular monthly bill, within 90 days of the demand reduction event. SDG&E will make curtailment payments only for those hours of Accepted Demand Reduction.

SPECIAL CONDITIONS

1. Definitions. The definitions of terms used in this schedule are found either herein or in Rule 1.

2. Demand Reduction. The quantity of kWh demand reduction is determined by subtracting the customer recorded consumption from the customer's Expected Demand. For each hour of Accepted Demand Reduction in which the Customer does not provide Demand Reduction that is at least 15% of Customer Load with a minimum load drop of 100kW the Demand Reduction will be set to zero, for Curtailment Payment calculations.

3. Curtailment Payment. The curtailment payment is calculated by multiplying the customers Demand Reduction for each hour of accepted demand reduction times the curtailment payment.

4. Utility Demand Reduction Request. The utility will issue a demand reduction request by 4:00 PM the day ahead of the demand reduction event, or by 8:00 AM the day of the demand reduction event. The demand reduction request will specify the beginning and ending hours of the demand reduction event. The utility will issue a demand reduction request when the California Independent System Operator (ISO) notifies the Utility that load relief is needed.

5. Customer Demand Reduction Offer. The customer will notify the utility within one hour of a Utility Demand Reduction Request, indicating the amount of demand reduction that the customer will provide for each hour of the demand reduction event. The quantity offered each hour must be in whole kW units, at least 15% of Customer Load with a minimum load drop of 100 kW, or else be a zero.

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SPECIAL CONDITIONS (Continued)

6. Acceptance of Customer Demand Reduction Offer. The customer demand reduction offer shall be considered Accepted Demand Reduction upon SDG&E sending notification to customer upon timely receipt of Customer Demand Reduction Offer and within two hours of the Utility Demand Reduction Request. Demand Reduction Offers shall be accepted primarily on a first-come, first-served basis, however, SDG&E may accept or reject a Customer Demand Reduction Offer based on order received, time needed versus time bid, and past non-compliance.

7. Accepted Demand Reduction. The amount of load the customer shall curtail for each hour of a demand reduction event, as measured by Demand Reduction.

8. Cancellation of Demand Reduction Event. SDG&E may cancel a demand reduction when the ISO notifies the Utility that load relief is no longer needed. Customer will be notified of a Cancellation of Demand Reduction Event as soon as practicable. In the event of a Cancellation of Demand Reduction Event by the utility, the customer will be paid the lesser of the hours bid, the hours requested or 2 hours.

9. Expected Demand. The customer's average consumption for the same hour of the day over the immediately preceding 10 similar days. For establishing similar days, if the Demand Reduction event is called on a business day, then 10 prior business days are used; if the Demand Reduction event is called on a weekend or holiday, then 10 prior weekend and holidays are used. The baseline shall be adjusted to account for any days that the Customer received a Curtailment Payment from an SDG&E or a CAISO load reduction program or days subject to rotating outages.

10. Program Operation. SDG&E shall communicate the following information to customer at least one hour prior to each demand reduction event: Accepted Demand Reduction, Expected Demand and expected curtailment payment amount.

11. Customer Load. Exclusively for the purposes of this Tariff, customer load shall be defined as customer's average Actual Maximum Demand for the preceding 12 months at the time the Utility signs the Form Contract For Service On Schedule VDRP.

12. Utility And Customer Notices. The utility will post communications either by means of the Internet, a pager or e-mail and will provide the customer with a letter describing the manner of the posting prior to the customer commencing service on this Rate Schedule. The utility will provide the customer with a letter a clear description of the manner in which the customer is to provide the utility with any notices referenced in this Rate Schedule.

13. Utility Testing. The utility shall have the right to conduct no more than three (3) tests of the communications and responsiveness of customers to a Utility Demand Reduction Request. During such a test the customer shall be responsible to curtail load consistent with the rest of the terms of this Rate Schedule.

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SPECIAL CONDITIONS (Continued)

14. Contract Requirement For Service. As a condition precedent to commencing service on this Rate Schedule customer shall submit to Utility a completed Form Contract For Service On Schedule VDRP and, if acceptable to Utility, the Utility shall sign and return the Form Contract to customer. A customer may not commence service on this Rate Schedule until the Utility has signed and returned the Form Contract to the customer. The contract shall expire on December 31 each year.

15. Utility Reporting. Utility will provide the Commission with a monthly report on the economics of this Rate Schedule. The monthly report will contain information on individual customer performance.

16. Term of Service. Upon signing the Form Contract For Service On Schedule VDRP, customer shall remain on this Rate Schedule for twelve months following the completion of the Form Contract.

17. Form of Curtailment Communications. Utility will notify the customer of Utility Demand Reduction Requests and Acceptance of Customer Demand Reduction Offers and Program Operations, by Internet, or alphanumeric pager or e-mail. Customer shall be responsible for the cost and maintenance to receive such communications and to send Customer Demand Reduction Offers by Internet or e-mail, as specified by the Utility. SDG&E does not guarantee the reliability of the Internet site, pager system or e-mail system used for such communications.

18. Limitation on Availability of Service. A customer taking service on any other Demand Relief Program Rate Schedule, excluding the Large Commercial Building HVAC & Lighting Tariff, may be denied service on this Rate Schedule if the possibility exists for the customer to receive more than one incentive payment from any source for the same demand or load reduction. Under no circumstances shall a customer receive more than one incentive payment from any source for the same demand or load reduction. VDRP participants shall not participate in any ISO ancillary service or pay for performance program.

19. Metering Requirement: Each account must have a telephone-accessible interval meter installed that can be read remotely by SDG&E. Metering and telephone equipment must be in operation for at least 10 days prior to participating in the program to establish baseline. If required, SDG&E will provide and install the metering equipment at no cost to the customer. The customer is responsible for the installation and monthly fees associated with telephone equipment and a dedicated line required for the remote reading or monitoring of the interval meter. Customers receiving an interval meter from SDG&E through this Program will be able to continue to use it at no additional cost even after the Program is terminated, provided that the customer remains in the Program continuously for a minimum period of one year, and provides Demand Reduction equal to or greater than Accepted Demand for at least 10 Utility Demand Reduction Requests. A customer who receives an interval meter through this Program but later elects to leave the Program prior to the one-year anniversary date, or does not bid and comply with 10 Demand Reductions, will reimburse SDG&E for all expenses associated with the installation and maintenance of the meter. Pursuant to Electric Rule 2, Section I, such charges will be collected as a one-time payment.

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SPECIAL CONDITIONS (Continued)

20. Emergency Standby Generation Limitations: Not withstanding all other applicable SDG&E Rules and Tariffs, Customer may synchronize and operate its own standby generation in parallel with the electric system up to 60 cycles to minimize service interruption during the transfer of electric service between the utility electric system and the Customer's Emergency Standby Generation, such operation shall only occur during the period starting 15 minutes prior to and ending 15 minutes after a curtailment event defined in this Tariff. Customer must review their interconnection plans with SDG&E prior to operation of their generator in parallel with SDG&E's system. In no event shall the customer operate its own standby generation in parallel with the utility electric system during utility service interruptions.

Upon termination or expiration of the term of this Tariff or Contract, customer agrees to either (1) dismantle all equipment necessary for customer's own standby generation to synchronize and operate in parallel with the utility electric system for the purpose of electric service transfer from the utility electric system to the customer's own standby generation, or (2) purchase and install a generator output meter meeting SDG&E's standards and either comply with applicable tariffs or take service under a contract.